

**TOUGH TIMES**
KCR (right) with his finance minister T. Harish Rao

## THE BORROWING CORPS

***Loans by PSUs / Associate Banks on behalf of the state government in 2020-21 up to the end of March 31, 2021***

| SL. NO. | INSTITUTION | FUNDS PROVIDED* | AMOUNT CONSIDERED** |
|---|---|---|---|
| 1 | Kaleshwaram Irrigation Project Corporation Limited | 1,647.13 | 36,056.77 |
| 2 | Telangana Drinking Water Supply Corporation Limited | 2,701.48 | 25,006.22 |
| 3 | Telangana State Water Resources Infrastructure Development Corporation | 995.91 | 11,095.85 |
| 4 | Telangana State Housing Corporation Limited | 875.06 | 7,801.74 |
| 5 | Telangana State Horticulture Development Corporation Limited | 300.43 | 526.67 |
| 6 | Telangana State Industrial Infrastructure Corporation Limited | 268.1 | 735.07 |
| 7 | Telangana State Power Finance Corporation Limited | 375.31 | 2,922.00 |
| 8 | Hyderabad Metropolitan Water Supply and Sewerage Board | 891.02 | 3,472.57 |
| 9 | Telangana State Sheep and Goat Development Cooperative Societies Limited | 797.31 | 2,292.91 |
| 10 | Telangana Fishermen Co-operative Societies Federation Limited | 136.72 | 463.95 |
| 11 | Telangana State Dairy Development Co-operative Federation Limited | 90.41 | 290.71 |
| 12 | Telangana State Cooperative Marketing Federation Limited | -- | 4,295.54 |
| | **TOTAL** | **9,331.29** | **95,181.73** |

**(in the form of loans) by government for payment of interest / repayment of loan*
*** as Off-Budget Borrowings as of March 2021. All figures in lakh crore*

that Telangana can come up with Rs 1.08 lakh crore by way of taxes and Rs 66,423 crore as non-tax revenue this year for funding its schemes, with inflation rising oil prices spiking in the wake of the Ukraine conflict.

The Centre and the state have been at loggerheads for many months. Last year's state budget was of Rs 2.3 lakh crore, but it had receipts of only Rs 2.09 lakh crore by January 2022. The state had expected Rs 38,669 crore from Delhi, but received only Rs 7,303 crore. This is besides its Rs 3.29 lakh crore cumulative debt burden. Given Harish Rao's expectation of Rs 41,000 crore from Delhi this year, a repeat of last year's situation is likely. A huge hole in receipts would make the pruning of allocations to welfare schemes necessary. Analysts attribute this predicament to the lack of focus on increasing the state's own income in meaningful ways.

Industries minister and TRS working president K.T. Rama Rao, however, points out that Telangana is 23rd among 28 states in terms of debt to GSDP ratio, and that the borrowings are aimed at improving people's lives by providing potable water to every home and irrigation facilities to increase farm production. Chief minister K. Chandrasekhar Rao, meanwhile, plans to call for a special session of the assembly to make a detailed statement on the "Union government's discrimination against the state and how it was creating hurdles even in going for institutional borrowings stating that the government had exceeded the FRBM limit," he says. The assembly is likely to adopt a resolution asking the central government to permit the state to raise loans. Telangana finance officials are discussing an action plan to challenge the Centre on state borrowings with their counterparts in Tamil Nadu and Kerala. Telangana may also seek legal remedy by arguing that such actions by the Centre could fracture the federal structure.

According to the rating agency ICRA, with the borrowing limits of states for this financial year to be cut in tune with their OBBs since 2020-21, some states that had borrowed more in the pandemic years could face challenges in raising resources. Among them are Andhra Pradesh, Tamil Nadu and Uttar Pradesh. Will they be penalised too? ■